Accounting Basics: Concepts, Rules, and Practice

Essay and Excel Practice Workbook

This material explains foundational accounting concepts and then converts them into practical exercises. The objective is to understand not only definitions, but also why transactions are recorded in particular ways and how the records remain mathematically balanced.

1. Accounting Basics

Accounting is the systematic process of identifying, recording, classifying, summarizing, and interpreting the financial activities of a business. The purpose is to produce reliable information about what a business owns, what it owes, how much the owners have invested, and whether the business is generating revenue and profit. Before learning journal entries, it is important to understand several assumptions and principles that establish the foundation of accounting.

Historical Cost Principle

The historical cost principle means that an asset is generally recorded at the amount paid to acquire it at the time of purchase, rather than automatically changing the recorded amount every time its market value changes. For example, if a company purchases land for $100,000, the accounting records initially recognize the land at $100,000. Fifteen years later, the land may be worth much more or less, but its historical purchase cost remains the basic recorded amount unless another applicable accounting rule requires a change. This principle provides an objective amount supported by a transaction rather than an uncertain estimate of current market value.

Economic Entity Assumption

The economic entity assumption treats the business as separate from its owner or owners for accounting purposes. Business transactions must therefore be distinguished from personal transactions. If the owner uses a business bank account to pay a personal bill, the transaction cannot simply be treated as an ordinary business expense. It must be identified appropriately, often as a withdrawal or distribution depending on the business structure. Keeping the two sets of activities separate makes financial statements more reliable and makes it possible to determine the actual performance of the business.

Going Concern Assumption

The going concern assumption means that financial statements are normally prepared on the basis that the business will continue operating for the foreseeable future. The business is not assumed to be closing down or selling all of its assets immediately. This assumption affects how assets, liabilities, and other items are measured and presented. If serious evidence indicates that the business may not continue, special accounting considerations may be required.

Monetary Unit Assumption

The monetary unit assumption requires economic activities that are recorded in the accounting system to be expressed in a common monetary unit, such as U.S. dollars or euros. A building is therefore represented by a monetary amount rather than by a physical description such as 'one large brick structure.' Using a common currency allows different resources, obligations, revenues, and expenses to be summarized and compared in financial statements.

2. Expense and Revenue Recognition

Matching Principle

The matching principle is associated with accrual accounting and requires expenses to be recognized in the period in which they help generate the related revenue, when the relationship can be reasonably established. For example, suppose a business pays a $250 sales commission connected to sales made in June. The commission expense belongs to the June period because the expense helped generate June revenue. The principle improves the usefulness of the income statement by placing related revenues and expenses in the same reporting period rather than allowing the timing of cash payments alone to determine the reported result.

Revenue Recognition Principle

The revenue recognition principle states, in general, that revenue is recognized when it has been earned and the applicable recognition requirements have been satisfied, rather than simply when cash is received. For example, if a company completes a project in May and has earned $5,000 under the agreement, the revenue may be recognized in May even if the customer does not pay until July. The July cash receipt is then primarily a collection of an amount previously recognized as a receivable. This distinction between earning revenue and receiving cash is one of the central ideas behind accrual accounting.

3. Double-Entry Bookkeeping

Double-entry bookkeeping is the system used to record transactions so that every transaction has at least two accounting effects. The total debit amount must equal the total credit amount. This is not merely a formatting rule: it reflects the structure of the accounting equation and provides an internal mathematical check on the records.

Account category	Debit increases	Credit increases	Debit decreases	Credit decreases
Assets	Yes	No	Yes	No
Expenses	Yes	No	Yes	No
Liabilities	No	Yes	No	Yes
Equity	No	Yes	No	Yes
Revenue	No	Yes	No	Yes

Example: if a business buys a $1,000 computer for cash, Equipment increases by $1,000 and Cash decreases by $1,000. The journal entry is therefore a $1,000 debit to Equipment and a $1,000 credit to Cash. Both accounts are assets, but one asset increases while another asset decreases. The total assets remain unchanged by this particular transaction.

4. The Basic Accounting Equation

Assets = Liabilities + Equity

Assets are the economic resources controlled by the business, such as cash, accounts receivable, inventory, equipment, and property. Liabilities are obligations owed to other parties, such as bank loans, accounts payable, and unpaid bills. Equity represents the owners' residual interest after liabilities are deducted from assets. In simplified form, equity is what remains for the owners after the business satisfies its obligations.

The equation can be rearranged in different ways. If liabilities and equity are known, assets can be calculated as **Assets = Liabilities + Equity**. If assets and liabilities are known, equity can be calculated as **Equity = Assets** – **Liabilities**. If assets and equity are known, liabilities can be calculated as **Liabilities = Assets** – **Equity**.

Worked Example

Suppose ET Corp owes BCS Bank $13,445 and has total equity of $15,298. If these are the only liabilities and equity amounts, the accounting equation gives:

Assets = Liabilities + Equity
Assets = $13,445 + $15,298
Total Assets = $28,743

If instead the intended statement was that liabilities must be subtracted from assets to determine equity, the calculation would be **Equity = Assets** – **Liabilities**. Therefore, the expression '$15,298 – $13,445 = $1,853' calculates an equity difference only if $15,298 represents assets. It does not calculate total assets from liabilities and equity. This distinction is important because the standard accounting equation is Assets = Liabilities + Equity.

5. Practical Excel Exercises

The accompanying Excel workbook contains four practice sheets: Instructions, Journal Practice, Answer Key, Equation Practice, and Trial Balance. Use the yellow cells to enter your own answers. The Journal Practice sheet automatically indicates whether each entry is balanced.

No.	Transaction	What to determine
1	Owner invests $10,000 cash into the business.	Identify the two accounts and debit/credit amounts.
2	Business buys equipment for $2,000 cash.	Identify the asset increase and asset decrease.
3	Business purchases $1,500 inventory on account.	Identify inventory and the liability created.
4	Business pays $500 toward the supplier balance.	Identify the liability decrease and cash decrease.
5	Business earns $3,000 revenue in cash.	Identify cash and revenue.
6	Business provides $2,000 of services; customer pays later.	Identify accounts receivable and revenue.
7	Business pays $600 rent in cash.	Identify the expense and cash decrease.
8	Customer pays $1,000 toward an amount previously owed.	Identify cash and accounts receivable.
9	Business pays $250 sales commission related to January sales.	Identify the expense and cash decrease.
10	Business receives a $5,000 bank loan in cash.	Identify cash and the loan liability.

6. Practice Questions

1. Why does the economic entity assumption require business and personal transactions to be separated?

2. Under the historical cost principle, what amount is initially recorded when land is purchased for $100,000?

3. Why can revenue be recognized before cash is received under accrual accounting?

4. Why does every double-entry transaction require equal total debits and credits?

5. If a company has assets of $50,000 and liabilities of $18,000, what is its equity?

6. If liabilities are $13,445 and equity is $15,298, what are total assets?

7. For a $1,000 cash purchase of equipment, which account is debited and which is credited?

8. Why is a $250 sales commission related to June sales generally recognized as a June expense?

7. Key Takeaways

• Accounting records economic events in a structured monetary system.

• The economic entity assumption separates business records from the owner's personal records.

• The going concern assumption generally treats the business as continuing its operations.

• The monetary unit assumption provides a common currency for recording economic activity.

• Historical cost provides a transaction-based starting point for recording many assets.

• Revenue is generally recognized when earned, while expenses are recognized when incurred or when they help generate related revenue.

• Double-entry bookkeeping requires equal debits and credits.

• The accounting equation is Assets = Liabilities + Equity.

- A balanced journal entry does not necessarily mean the transaction was classified correctly; the accounts and amounts must also be conceptually appropriate.

Note: This workbook is designed for foundational practice. Real-world financial reporting can involve additional standards, exceptions, estimates, adjusting entries, tax rules, and industry-specific requirements.